

Managing Projects to Achieve Results

Lesson 4





Study Information and Tips



This Study Text replicates the video content for the lesson



Supplementary knowledge can also be found in the information sheets and text boxes that accompany the videos, as well as in the resources in the Insights section



Activities to help you consolidate your knowledge are deliberately delivered through practice questions and exercises found in the Test and Apply sections on the VLE. These help you to further build on your knowledge and apply the learning in a way that supports your assessment



You can use this Study Text to test your understanding of the learning content at the end of each lesson. It may also be helpful to refer to it when preparing for your assessments



We recommend that you also produce your own notes in addition to the Study Text. Research has shown that handwritten notes can be very effective for learning retention



If you decide to print this Study Text, set the layout to print 4 or 6 slides per page to save on paper and ink



Project Monitoring and Review

**Monitoring Tasks,
Costs and People**

**Meetings, Tools
and Metrics**

**Developing Key
Performance
Indicators**

**The Role of the
Project Management
Office**



Monitoring Tasks

In this lesson we focus on the ‘how’ of project management. How are things progressing when compared to the plans? Are there any deviations from the plans? How will outcomes and successes be measured and evaluated? And how will learning from this process be carried forward into future projects?

Some projects are ‘set up to fail’ because too much is expected from day one. You may be familiar with the phrase ‘you can have any two from three’. In our context, this becomes:

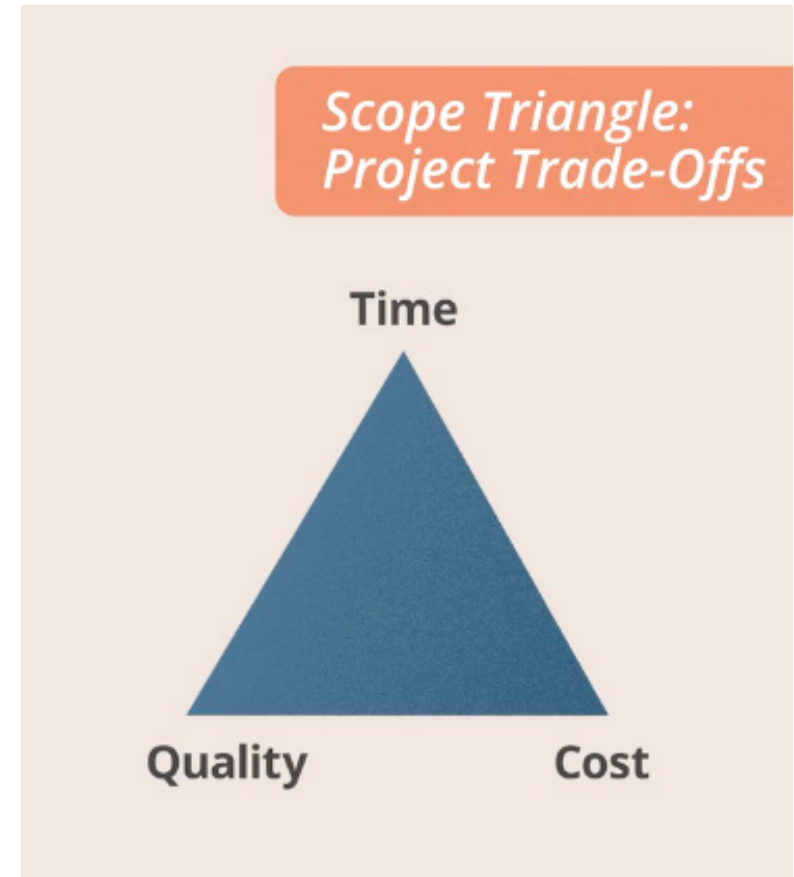
“I can give you rapid development, high quality or low cost ... which two do you want?”



The Scope Triangle

This is best represented by a scope triangle, which shows the trade-offs that are inherent in any project. The question to ask is why can't all three be achieved?

When the time available to deliver is fixed, functionality has to be restricted. If, for example, a product was originally planned to ship with an innovative new feature, but it is not yet reliable, too expensive, or both, then the feature must be held back for a future upgrade, or delayed until an entirely new version of the product is introduced.

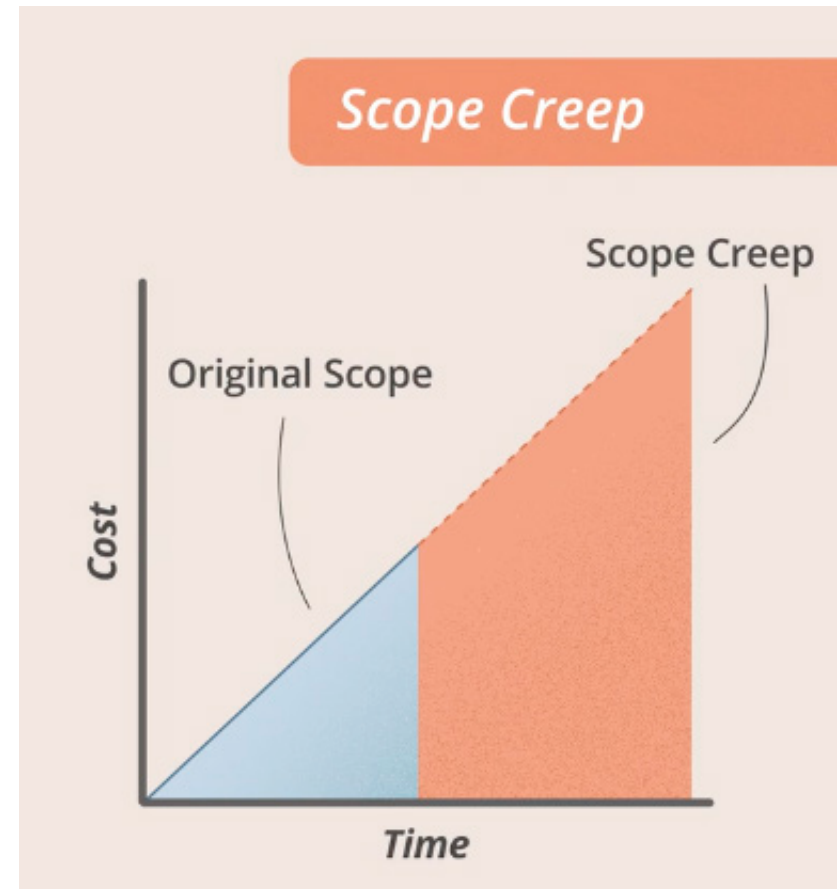




The Scope Triangle (cont.)

Of course, the core requirements of the product must be delivered. If these are missing, or fail to work correctly, the project is unlikely to be successful in the market, so any potentially innovative future versions are abandoned.

The opposite of this is known as scope creep, the tendency for a project to accumulate new functionality not originally planned. Sometimes this is okay; perhaps the project was poorly defined from the start and needs to evolve. But creep needs to be monitored and controlled. A large amount of scope creep can be disastrous because time and cost constraints will be breached.





The Scope Triangle (cont.)

To solve this problem, as the scope triangle suggests, there are three options:

1. Add time, delay the project and add the functionality
2. Add cost, recruit more people to do the extra work
3. Cut quality, trade off some non-essential requirements

Some project managers will see the scope triangle as a strait-jacket constraining their project. Better project managers will see an opportunity to make increased use of one or more of the elements. The best project managers will juggle all three and will be making decisions every day to achieve the best combination of time, quality and cost.

As the project progresses it is vital to monitor tasks to ensure that they are being completed in accordance with the project plan. This monitoring can happen both at predetermined points or when something unexpected happens. When this monitoring highlights a problem, the solution needs to be found quickly and effectively.



Meetings to Review the Project Progress

One of the most important methods of assessing project progress will be regular, targeted meetings. These may not all be relevant in your project management method.

- **Pulse Meetings.** These are short team status meetings where the project management team is able to gather detailed, daily project performance information. These work best with small teams in geographically similar locations.
- **Program Reviews.** Unlike the Pulse Meetings which focus on day-to-day activities, Program Reviews focus on the big picture and emphasise the integration between activities and between sub-projects encompassed within the program.
- **Management Reviews** are formal, documented meetings with the project team and key stakeholders. The review examines the current status of the project when compared with the original project plan. Unlike Pulse Meetings and Program Reviews, Management Reviews are held in the presence of key stakeholders. The emphasis is on whether the project performance is adequate for the project to deliver on the overall project objectives.
- **Technical Reviews** are formal meetings conducted with subject matter experts who are not members of the project team but who can take an expert view on content.



Tools and Metrics to Review the Project Progress

To prepare for these meetings, you will need to draw on data supplied by your project management tools. These might include:

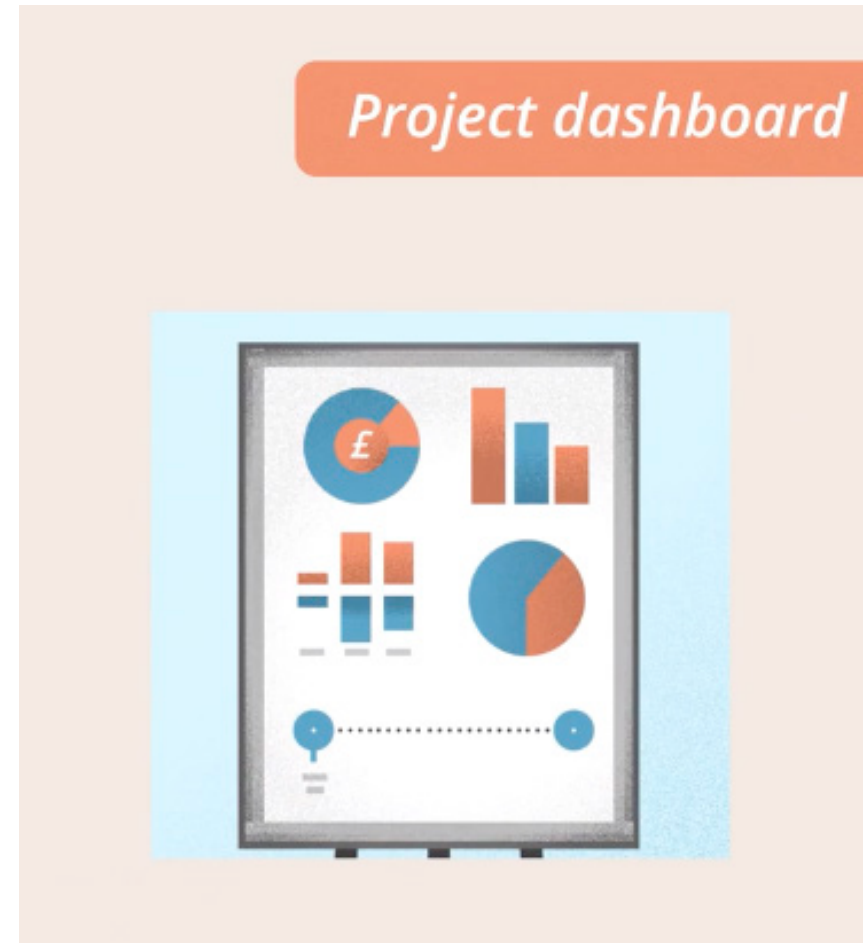
A **Project Management Information System**, which is a set of communication methods used by the project team to share plans and results of project activities.





Tools and Metrics to Review the Project Progress (cont.)

And **Project Dashboards**, which work to summarise project status information that can be used as indicators, showing the extent to which the entire project is on track (or not). The dashboard information can then be used to make decisions concerning any changes needed.





Reports to Review the Project Progress

You might also be required to submit reports, either before or after the meetings we discussed earlier. These could include:

Variance Reports, which focus on a comparison between what has actually happened on a project against what was expected to have happened.

Project Forecasts, which take the current project status information and extrapolate performance to the end of the project.

The Change Management Log, which tracks the implementation of an individual change across sub-projects. It can also track the implementation of the change within a project, especially if the project activities are conducted in multiple locations or if there are several phases underway at one time.



Software for Project Planning

Tools such as project management information systems and project dashboards form a vital component of modern project management, in which software is increasingly being used to streamline processes and increase efficiency.

Read more about how software programs can help to facilitate project planning by downloading the associated information sheet in the lesson.



Applying Metrics

To monitor a project successfully, you need a comprehensive set of metrics, Key performance indicators (KPIs) and a project dashboard.

Harold Kerzner, a Director at the International Institute of Learning, suggests that effective project governance is based on setting clear project success criteria. You'll define these criteria by listing down stakeholder and organisational expectations.

Once you know what these targets are, you can decide on the metrics by which to measure them.



Applying Metrics (cont.)

Metrics are usually quantifiable measurements. They can be recorded as numbers, percentages, counts or ratings. For example:

- What percentage of our tasks are completed on time?
- What are the travelling expenses for our project?
- How many supplier deliveries have been on time?
- How many of the delayed deliveries have been critical for the completion of a task?



Choosing the Right Metrics

Your organisation might also require some more business-focussed metrics, such as:

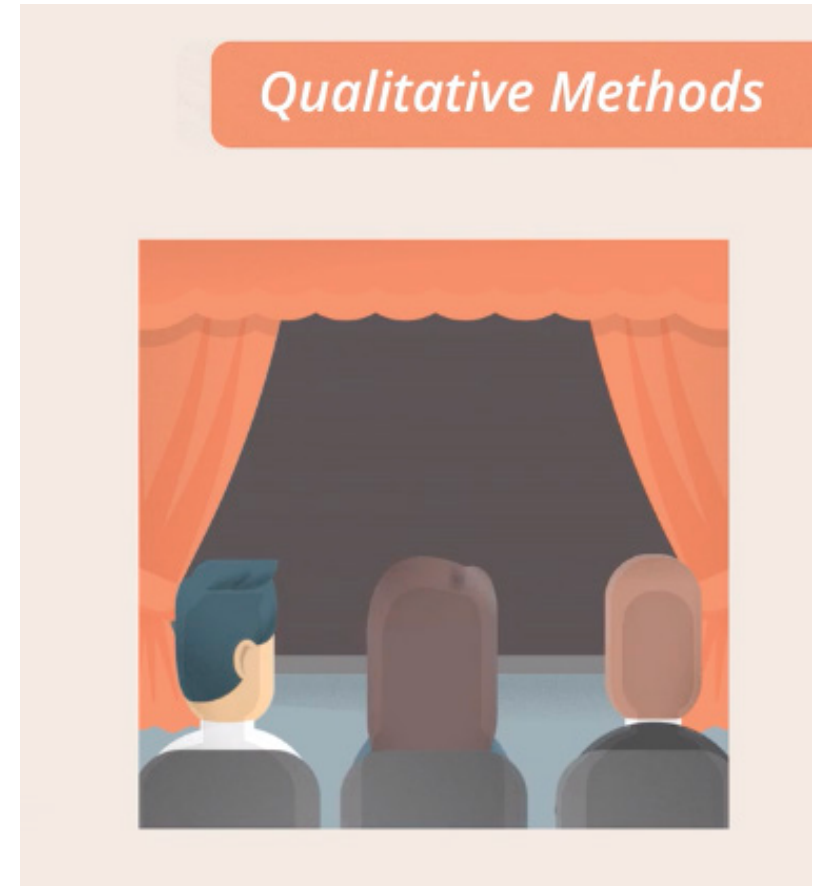
- Financial metrics like the Return on Investment, the Net Present Value of the investment or the current Payback Period.
- Cost metrics, such as actual vs budgeted costs, cost reductions, the resource use efficiency and measuring slack or unused resources.
- Completion metrics, including recording when tasks are completed, the number of milestones achieved and monitoring the progress of an activity.
- Human Resources metrics, such as hours worked, overtime worked, participation and job satisfaction metrics.



Choosing the Right Metrics (cont.)

But metrics can also be qualitative. We might choose to monitor customer reactions to work-in-progress, especially in an agile project.

Think of the example of a film production project. Not only do we want to collect numeric data (on expenditure, progress and overtime) we also want to get early evaluations and opinions on the project deliverable. Hollywood studios often organise screenings of early versions of a film to ensure that the project is on the right track.





Choosing which Metrics become KPIs

The next step is to decide which of those metrics, or what combination of those metrics, should become your Key Performance Indicators. Management author Wayne Eckerson warns against trying to turn all metrics into KPIs. Instead, KPIs should be few in number, standardised, aligned, easy to understand and predictive. They should be able to trigger change or managerial intervention.



Choosing which Metrics become KPIs (cont.)

Examples of KPIs:

- The number or percentage of milestones missed
- The percentage of work packages that stayed on budget
- The number of times the scope of the project changes and how many times we had to modify the project charter
- The number of overtime hours put into the project
- Staff turnover in the project
- The number of critical incidents that delayed the project's timeline
- Management support hours as a percentage of the overall project time.

These quantifiable factors are relevant, they highlight aspects of the project's performance and may well be predictive of the project's outcome. They may be used as signs of an underperforming team, or as indicators of a project lacking the necessary resources.



Effective Use of KPIs

In general, KPIs often relate to:

- The project schedule
- Task completion rates and speed
- Any current development backlog
- Labour expenditure and costs
- The current resource allocation

Bear in mind that KPIs need not be kept locked away, purely for the eyes of the management. Why not make them public for the whole team to see? And perhaps even use them as a motivational tool, or benchmarks for bonuses or other incentives? Visible signs of project progress can be motivating across the board.



Effective Use of KPIs (cont.)

When you've set your metrics and chosen your KPIs, you should then build a project dashboard. A dashboard is an operational tool that provides a project manager with a simplified, meaningful picture of the project's KPIs. A dashboard is not a scorecard or a report; it should be a real-time view of the project's performance.





Project Audits

In addition to the use of metrics, KPIs and dashboards, Project Managers may also conduct project audits. Project audits are periodical and evaluative reviews. The most commonly used audits include:

- Performance audits, looking at how well we are doing as a project team
- Quality audits, focusing on whether the outcome of the project meets the quality expectations
- Compliance audits, examining whether regulatory requirements are met
- Exit audits, which are conducted when a project is in trouble and may be terminated
- Best Practice audits where we evaluate our project management performance and strategy



Health Checks

A good project manager should also perform periodic health checks on the project, which aim to examine areas of the project that cannot be easily captured in the project dashboard or formal audits. Project health checks focus on value-creation and the long-term success and feasibility of the project. They include interviews and more open-ended forms of data collection, and, if done well, can highlight issues that are not part of the daily project routine.





Reporting on Your Project

When you have finished a project, you may be required to produce a report or presentation that outlines your achievements, identifies the obstacles you encountered and summarises any lessons learned along the way.

By highlighting your successes, addressing challenges and offering recommendations, you can provide valuable insights for stakeholders and contribute to the overall knowledge base of project management within your organisation.

Read more in this lesson's 'Reporting on Your Project' information sheet.



The Role of The PMO

A Project Management Office is the backbone of a successful large project. This function provides decision support information, although doesn't make any decisions itself. A PMO underpins the project delivery mechanisms by ensuring that any necessary project change is implemented in a controlled way. A PMO can be responsible for:

- Governance: Ensuring that decisions are taken by the right people, based on the right information. The governance role can also include audit or peer reviews, developing project and programme structures and ensuring accountability.
- Transparency: Providing information with a single source of truth. Information should be relevant and accurate to support effective decision-making.
- Reusability: Stopping project teams from reinventing the wheel by being a reference point for lessons learned, templates and best practice.
- Delivery support: Making it easy for project teams to do their jobs by reducing bureaucracy, providing training, mentoring and quality assurance.
- Traceability: Managing documentation, project history and organisational knowledge.



The Role of The PMO in Practice

MO teams fulfil a variety of functions on a day-to-day basis including:

- Gathering data about project progress and producing reports
- Developing standards and processes
- Encouraging (or enforcing where necessary) the use of those standards and processes
- Managing resources for projects
- Delivering training and mentoring project team members
- Managing dependencies across multiple projects
- Tracking benefits
- Reporting on financial information such as return on investment

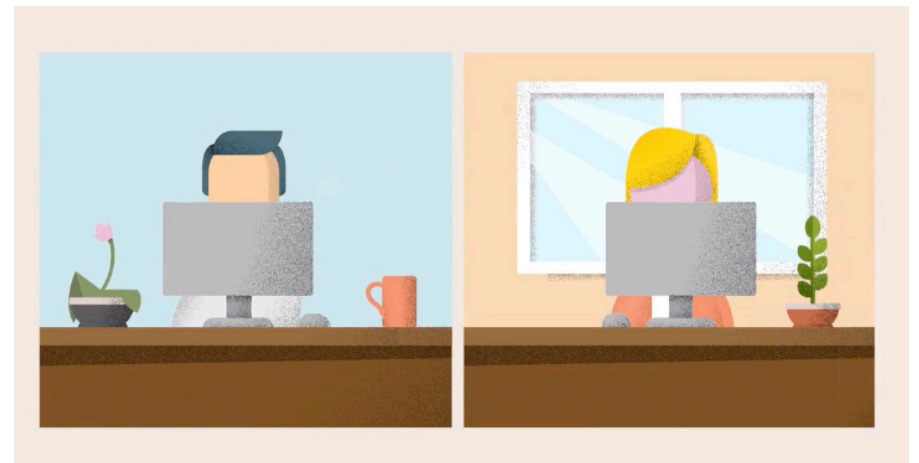


The Role of The PMO in Practice (cont.)

As with other project management systems and procedures, the complexity of these monitoring and control functions depends upon the size of the project itself. The support of a PMO would be overkill for, say, a simple office move, but vital when managing a highly complex project such as designing and manufacturing a new type of aircraft.



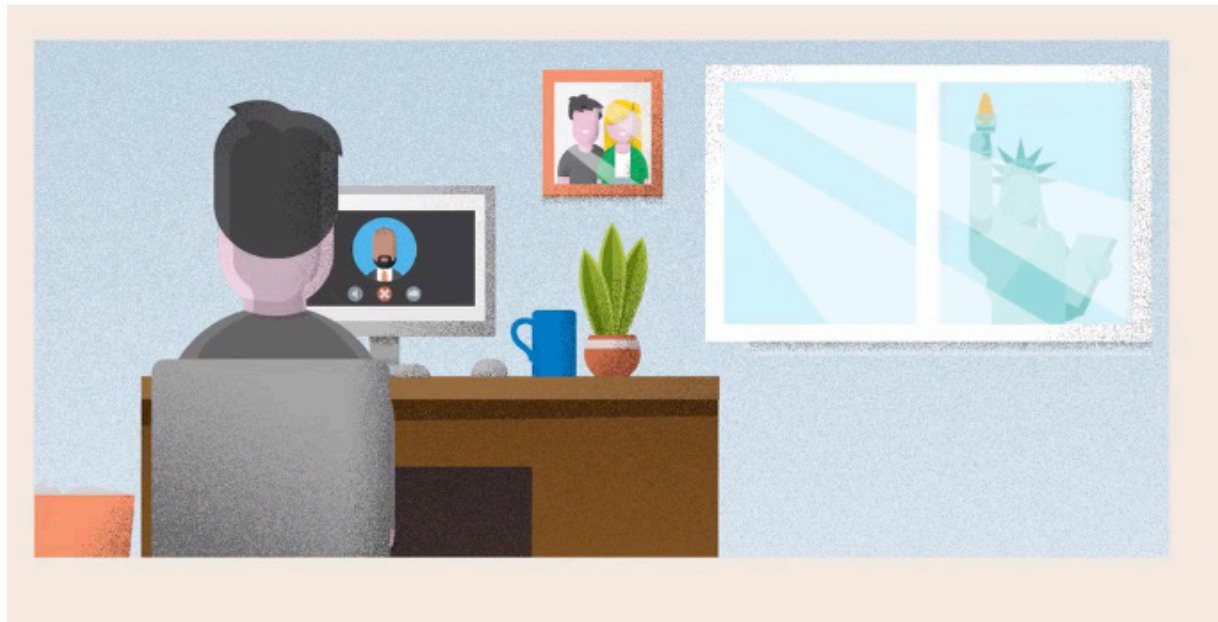
It's important to remember that a PMO need not necessarily be a team of people all sitting in the same physical office. Online collaboration is now standard in many organisations.





The Role of The PMO in Practice (cont.)

Among other advantages, meetings can be virtual, and team members can contribute to the project wherever they are. This is particularly important in project management teams which have some members actively engaged with other work, perhaps in different offices or even different countries. As you will be aware, this is becoming a standard way of working in many different environments – face-to-face meetings may become increasingly rare.





Recap

In this lesson, you have learned about:

- Monitoring tasks, costs and people
- Meetings, tools and metrics to review the project progress
- Developing key performance indicators
- The role of the Project Management Office